

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System

Docket No. RM26-4-000

**REPLY COMMENTS OF
THE CALIFORNIA PUBLIC UTILITIES COMMISSION**

The California Public Utilities Commission and the People of the State of California (“CPUC”) submit these Reply Comments in response to the Federal Energy Regulatory Commission’s (“FERC” or “Commission”) October 27, 2025, Notice Inviting Comments on the Advance Notice of Proposed Rulemaking (“ANOPR”) on large load interconnection.¹

The CPUC appreciates the opportunity to comment and express support for the following issues identified in Initial Comments by industry and regulatory stakeholders. Given the large volume of Initial Comments, the CPUC files these Reply Comments to briefly highlight key issues raised for the Commission’s consideration. In its Initial Comments, the CPUC raised that the proposed rulemaking, as described in the ANOPR, extends beyond FERC’s jurisdictional authority. Many parties raised similar concerns,

¹ To distinguish load interconnection from generator interconnection, California refers to interconnection of load as “energization.” Use of the term energization in these Reply Comments, unless otherwise stated, is synonymous with “load interconnection.”

and in these Reply Comments, the CPUC points the Commission to specific comments that the CPUC believes helpfully explain the issues.

If the Commission nonetheless moves forward, parties also raised helpful points regarding the need for flexibility and deference to states within their domains and made several proposals that would improve transparency in the large load energization process. The CPUC adopts further positions on flexibility and transparency in response to these comments, and supports methodologies proposed by other parties to effectively reach those goals.

Finally, given the broad range of megawatt (“MW”) thresholds for data centers expressed by parties across the nation, the CPUC shifts its position toward a higher threshold and supports considering non-MW factors to define the data center customer class.

I. JURISDICTION

A. The ANOPR is Inconsistent with FERC and Court Precedent and Proposes Jurisdiction in Excess of the Authority Under the Federal Power Act

In its Initial Comments, the CPUC addressed why the proposed rulemaking, as described in the ANOPR, would extend beyond FERC’s jurisdiction and undermine the system of cooperative federalism set forth in the Federal Power Act and amendments in the Energy Policy Act of 2005 (“FPA”). Many organizations, states, and industry participants expressed similar jurisdictional concerns and advocated for the Commission to adhere to the limits imposed by Congress on federal agencies. The CPUC agrees with these entities and specifically identifies the following portions of Initial Comments that

the CPUC believes clearly explain several of the jurisdictional issues raised by the ANOPR.

As discussed by the Organization of MISO States (“OMS”), the Commission’s own analysis acknowledges the limits on its authority: “[t]he Commission recently recognized the limits of its jurisdiction by rejecting Tri-State’s proposed High Impact Load Agreement (‘HILA’). The Commission found that it would impermissibly intrude on state-regulated retail rate matters by dictating specific terms and conditions of service between utilities and their end-use customers.”²

And as explained by California investor-owned utility Pacific Gas and Electric Company (“PG&E”), the ANOPR is misaligned with the Commission’s own precedent on the balance between state and federal jurisdiction. PG&E’s “Rule 30” large load energization application is before the CPUC.³ PG&E notes the Commission determined earlier this year that states have the authority to determine:

1. Which entities are legally permitted to provide electricity to retail customers in co-location arrangements.
2. How the wholesale costs of providing electricity to those retail customers are recovered through retail rates. That is true irrespective of where the load interconnects (i.e., to the distribution system, the transmission system, or the generator itself).
3. Their generation resource mix, including through their siting authority (meaning co-located load is a question of state law).⁴

² OMS Initial Comments at 5.

³ CPUC Application No. 24-11-007.

⁴ PG&E Opening Comments at 9.

The ANOPR contradicts the Commission’s recent orders and claims jurisdiction over transactions for electrons that never enter the interstate market. Under Commission precedent, as quoted by PG&E:

the Commission has exclusive authority over the rates, terms, and conditions for the sales from generating resources used to serve co-located loads, as well as the practices directly affecting such sales, provided that they are sales for resale in interstate commerce. If they are not sales for resale—that is, if they are made directly to the end-use consumer—or if they are not in interstate commerce then the co-located generator’s sales are under state jurisdiction.⁵

The CPUC agrees. The Commission and the states have separate zones of exclusive jurisdiction. Critically, and key to the analysis here, the states retain authority over matters not expressly granted to the Commission under the FPA.⁶

In its Initial Comments, the CPUC explained why the FPA does not provide FERC jurisdiction over all things tangential to the transmission system or that have incidental impact on wholesale electric rates. The Solar Energy Industry Association’s (“SEIA’s”) helpful analysis of the FPA similarly demonstrated that Congress could not have intended to bring within FERC’s jurisdiction *any* policy or action that may impact wholesale rates, as “markets in just about everything—the whole economy, as it were” can influence demand.⁷ Instead, the U.S. Supreme Court has adopted a “common-sense construction of the FPA’s language, limiting FERC’s ‘affecting’ jurisdiction to rules or practices that

⁵ PG&E Opening Comments at 9-10.

⁶ PG&E Opening Comments at 10.

⁷ SEIA Comments at 7. (*FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 277, 136 S. Ct. 760, 774, 193 L. Ed. 2d 661 (2016), as revised (Jan. 28, 2016).)

‘directly affect the [wholesale] rate.’”⁸ Applying that analysis to the present large load energization issue, retail loads are not direct participants in wholesale markets.⁹ Rather, they are retail end-use customers whose operations may indirectly influence wholesale prices by contributing to demand.¹⁰

This type of indirect impact is beyond the scope of the Commission’s jurisdiction under the Federal Power Act.¹¹ Further still, even if the proposals in this ANOPR do not directly impinge on the states’ authority over retail sales of electricity, that does not itself *establish* federal authority – “the Commission must clearly articulate how exercising jurisdiction over large load interconnections is consistent with, but not derivative of, its authority over wholesale transactions and transmission in interstate commerce.”¹²

The National Association of Regulatory Utility Commissioners (“NARUC”) and Edison Electric Institute (“EEI”) comments raised another jurisdictional concern. As NARUC pointed out in its comments, FPA section 212(h) prohibits FERC from directing the provision of transmission directly to end users (retail wheeling).¹³ The FPA reservation of jurisdiction over retail rates and services to the states includes retail load energization.¹⁴ Similarly, EEI comments analyzed FPA section 212(h) and demonstrated

⁸ *Id.*

⁹ SEIA Comments at 7.

¹⁰ *Id.*

¹¹ *Id.*

¹² *Id.*

¹³ NARUC Initial Comments at 4.

¹⁴ *Id.*

Congress prohibited the Commission “from ordering retail transmission service against the wishes of a state, if the state prohibits wheeling to an ultimate consumer.”¹⁵ The Commission in Order No. 888 recognized this as a barrier to ordering a retail customer to take service under a FERC-jurisdictional tariff.¹⁶

As NARUC’s comments explained, state commissions are the venue for retail end-use customers to redress their rights when directly affected by the services of the electric supplier.¹⁷ State jurisdiction over retail load allows those customers to seek recourse from state regulators’ decisions by participating in state proceedings and through electing or influencing the appointment of state regulators.¹⁸ The CPUC strongly agrees with NARUC that the federal government and the states working together under the tradition of cooperative federalism will lead to the most optimal solutions.¹⁹

In its comments, EEI also explained the critical point that the state regulatory authority over retail sales is a power recognized by the same statutory provision that authorizes the Commission’s transmission jurisdiction.²⁰ 16 U.S.C. § 824(b) gives the Commission jurisdiction over “transmission of electric energy,” but recognizes state jurisdiction over “any ... sale of electric energy” other than “sale of electric energy at

¹⁵ EEI Comments at 27-28.

¹⁶ *Id.*

¹⁷ *Id.* at 6.

¹⁸ *Id.* at 6.

¹⁹ *Id.*

²⁰ EEI Comments at 26.

wholesale.” The terms of large load energization are not a sale of electric energy at wholesale and therefore fall into the “any other” category reserved for the states.

Further, EEI correctly raised that in Order 888, the Commission found that in all cases, retail service involves state jurisdiction even if no distribution facility is actually used.²¹ The Commission concluded that requiring the unbundling of retail transmission and generation would raise “difficult jurisdictional issues.”²² A federal order claiming jurisdiction over all retail transmission would have even greater implications for the states’ regulation of retail sales.²³ Thus, even if a retail large load customer connects directly to the transmission system, Commission precedent dictates that interconnection to a distribution facility is not required for a transaction to be retail service under state jurisdiction.²⁴

B. A Shift in Jurisdiction Would Leave Regulatory Gaps and Cause Delays

In its Initial Comments, the CPUC focused on the legal issues with jurisdiction that may be invoked in this rulemaking. In these Reply Comments, the CPUC joins others in the practical concerns and unintended downstream impacts of a jurisdictional shift.

Many parties helpfully noted the unintended consequences of hashing out issues of jurisdiction at a time when speed is the goal. As explained by the Organization of PJM

²¹ EEI Comments at 26.

²² *Id.*

²³ *Id.*

²⁴ *Id.*

States, Inc. (“OPSI”), “...expansion in Federal jurisdiction would lead to confusion and likely conflict between federal regulation and state-approved tariffs.”²⁵ Research of electrical utilities has found that, consistent with other industries, “perceived regulatory instability reduces new investment and undermines policy goals.”²⁶

As further pointed out by OMS, the ANOPR presents a slippery slope that could cause a massive shift from established operations and force retail unbundling. This would cause further uncertainty and delay, as related processes would need to be reconsidered to address resulting jurisdictional and operational changes, gaps, and misalignment of regulatory authority. To quote OMS:

FERC has consistently recognized, including in Order Nos. 2003 and 2023, that interconnection service is distinct from transmission service. Yet under the ANOPR’s reasoning, the act of connecting a large retail customer directly to transmission facilities could transform that retail delivery into a FERC-jurisdictional wholesale transaction – redefining distribution facilities and costs as transmission assets, shifting oversight of distribution expansion, maintenance, and rate recovery from state commissions to FERC.

The ANOPR states that is not the intent; however, if it occurs functionally, many related processes (and regulatory constructs or arrangements) would need to be reconsidered to address resulting jurisdictional and operational changes, gaps, and misalignment of regulatory authority. If this reclassification of large load occurs, it will effectively compel states to unbundle retail service – a massive structural change with significant implications for ratepayers.²⁷

²⁵ OPSI Initial Comments at 9-10.

²⁶ “The Effect of Regulatory Uncertainty on Investment: Evidence from Renewable Energy Generation,” Kira R. Fabrizio, *Journal of Law, Economics, & Organization*, Vol. 29, No. 4 (August 2013), at 765-798. <https://www.jstor.org/stable/23487259>

²⁷ OMS Initial Comments at 7.

OMS further outlined the impacts of such a jurisdictional shift:

1. existing customers would not be able to benefit from spreading a utility's generation and distribution fixed costs over additional sales if large loads are not subject to an incumbent utility's retail tariff provisions;
2. the cost to procure sufficient capacity to serve the new system load would likely be socialized and may increase the potential for stranded costs if load does not materialize as expected;
3. transmission congestion patterns may shift abruptly and significantly, depending on the size of the large load, thereby creating new network topology challenges and increased congestion costs;
4. existing customers could experience increased transmission costs through additional reliability projects; and
5. any reliance on the grid for backup energy would increase the need for system capacity, energy, and ancillary services resulting in additional downstream costs for retail ratepayers.²⁸

Finally, as OMS pointed out, impingement on states' jurisdictional authority may create a regulatory gap where no entity is accountable for reliability or determination of prudence.

The Commission should include clear provisions ensuring that this interconnection process does not circumvent state-jurisdictional cost recovery mechanisms or retail service obligations. If the Commission were to override or bypass these structures, it would effectively separate interconnection from service responsibility, creating a regulatory gap where no entity is clearly accountable for maintaining reliability or ensuring costs are prudently assigned or recovered.²⁹

²⁸ OMS Initial Comments at 8.

²⁹ OMS Initial Comments at 12.

The National Conference of State Legislatures (“NCSL”) also effectively highlighted the uncertainty of responsibility by raising the following questions:

1. Who bears responsibility for managing and mitigating the ensuing reliability concerns?
2. Who is responsible for bearing the costs of increased power demand?
3. Which entity holds operational authority for determining customer prioritization during system restoration efforts?³⁰

The ANOPR raises these and many other questions that the Commission would need sufficient time to address. Therefore, either this process would slow energization of large load and extend the timeline for bringing AI data centers online, or these questions would go unaddressed, resulting in unreasonable cost-shifting and a less reliable electric grid for all.

C. Sufficient Time is Necessary to Address an Issue of this Importance

As explained above, the CPUC and many others have raised significant jurisdictional concerns with the proposed rulemaking. But if it is to move forward, it is of significant interest across the nation and should not be rushed toward final action by April 2026. Instead, this ANOPR should be used to refine the proposals and prompts for a subsequent Notice of Proposed Rulemaking (“NOPR”), providing sufficient time for input from utilities, grid operators, customers, and other stakeholder groups.

The Commission is required to “consider and take final action on any proposal made by the Secretary . . . in an expeditious manner in accordance with such *reasonable*

³⁰ NCSL Comments at 2.

time limits as may be set by the Secretary for the completion of action by the Commission on any such proposal.”³¹ To echo PJM Transmission Owners’ Opening Comments, a “reasonable” time “must allow for the required rulemaking procedures set forth in the APA, including a sufficiently specific NOPR and opportunity for meaningful comment. ...[A]n ANOPR is a precursor to the rulemaking process further support that any forthcoming rulemaking must adhere to typical rulemaking requirements.”³² The time limit set in this FERC Docket is inconsistent with the full rulemaking process and is not “reasonable” within the meaning of 42 U.S.C. § 7173(b).

Large load energization is an issue of significant nationwide importance, and while the CPUC is aligned on the goal of timely energization, sufficient time is needed to develop transparent, effective, and durable rules. As pointed out by EEI, “[i]n any Commission rulemaking effort, the amount of time needed for transition and implementation processes necessarily depends on the nature of the Final Rule. The Commission should ensure an appropriate transition period to implement any new rule. We can only provide realistic implementation feedback in response to a NOPR rather than an abbreviated ANOPR.”³³

Further, the National Association of Utility Consumer Advocates (“NASUCA”) asserts, and the CPUC agrees, that the Principles for Reform expressed in the ANOPR are not actual reforms, but are the principles that actual reforms could incorporate.

³¹ 42 U.S.C. § 7173(b) (emphasis added).

³² PJM TO Comments at 38-40.

³³ EEI Comments at 36-37.

NASUCA also notes that a number of the principles create confusion with inconsistent language and ambiguities. For these reasons, NASUCA concludes that more time is needed in this docket. “Given the magnitude of the request and the importance of the issues implicated by that request, it would be patently unreasonable and bad public policy for FERC to use an expedited process to expand its jurisdiction.”³⁴

II. FLEXIBILITY

At the outset, the CPUC does not agree that the FPA has granted the Commission regulatory authority to set rules over the terms and conditions of retail load energization. However, should the Commission nonetheless move forward with making such rules, a flexible application of any rule would likely be most effective. The CPUC echoes parties’ comments that flexibility and deference to states within their domains would benefit ratepayers, utilities, and industry alike. Otherwise, the ANOPR’s efforts may be counterproductive to the mutual goal of promptly energizing AI data centers.³⁵

A. Stability Benefits Markets and Investment in Infrastructure

Large economic investments needed for our electric grid and AI development goals are best served by stability of investors’ expectations and reliability of economic returns. Regulatory stability is one critical element of creating fertile conditions for large-scale investment.

Same as EEI, the CPUC wishes to “underscore the importance of providing a clear signal to market participants that the progress they have made to bring large load

³⁴ NASUCA Initial Comments at 10-11.

³⁵ EEI Comments at 22.

customers onto the system will not be undermined. Across the country, there are countless large load customers who are already interconnected to the transmission system or are in various stages of working through the process to interconnect.”³⁶ This ANOPR comes at a time when many utilities, states, and industry customers have already established processes and expectations for large load energization.

B. Less Intervention Will Lead to More Progress

The CPUC also agrees with EEI that some of the ANOPR’s efforts may be counterproductive to the mutual goal of promptly energizing AI data centers.³⁷ Like EEI, the CPUC supports the goal of the Administration, Department of Energy, and the Commission to advance the fair and rapid energization of large loads.³⁸ However, these goals can best be achieved without reshuffling the deck and “calling into question the way in which states and the Commission have traditionally regulated bundled retail service and without launching a cumbersome new regulatory effort that is likely to slow, not speed, progress.”³⁹

If the proposed rulemaking takes the shape of a sweeping one-size fits all solution, it will counterproductive. As well-stated by Duke Energy (“Duke”):

To the extent FERC can identify specific and concrete problems within its statutory authority, FERC should narrowly tailor any proposed reforms to solving those specific problems. To attempt through this rulemaking proceeding to solve for theoretical problems, edge case hypotheticals, or problems beyond FERC’s statutory purview will introduce a quagmire of

³⁶ EEI Comments at 4.

³⁷ EEI Comments at 22.

³⁸ *Id.*

³⁹ *Id.*

jurisdictional issues and disputes, thorny implementation details, unintended consequences, and lengthy, litigious compliance processes that would impede more timely interconnection of large load customers. Any reforms that FERC pursues must be catalysts, not quicksand.⁴⁰

C. Cooperative Federalism

The CPUC joins other parties in encouraging the Commission to build on the progress and experience that has already been developed by the states in energizing large load and data centers currently serving the country.

The CPUC agrees with the cooperative federalism approach proposed by OMS of “developing voluntary best practices with states to improve interconnection efficiency, requiring load interconnection processes that enhance transparency, and other novel approaches” necessary at a particular moment.⁴¹ This would dovetail with and preserve state authority and established regulatory frameworks on state-jurisdictional issues that ensure reliability, resource adequacy, and affordability.⁴²

D. Guidelines Instead of Fixed Rules

Given state and regional differences and quickly evolving technology and markets, flexible guidelines would be more effective than cumbersome rules.

The CPUC shares EEI’s urging to the Commission to avoid being overly prescriptive and to preserve contracting flexibility.⁴³ As EEI stated, “[l]arge load customers are not uniform; their load characteristics may vary widely depending on the

⁴⁰ Duke Comments at 2.

⁴¹ OMS Initial Comments at 8.

⁴² *Id.*

⁴³ EEI Comments at 20.

end-use and evolve over time.”⁴⁴ Guidelines establishing the type of technical information large load customers need to provide prior to initiating an energization request will improve infrastructure planning.⁴⁵

The CPUC also agrees, as pointed out by Meta, that overspecification would be counterproductive: “Issuing a detailed, standard rule that fails to account for the diversity in the economic landscape could slow down successful interconnection processes and undermine the Commission’s goal of bringing more data centers online faster and in a more orderly manner.”⁴⁶

Similarly, as stated by EEI, large load energization is a changing landscape: “Any standardized procedures dealing with large load interconnection, including any efforts to address the costs of studying these customers, must be flexible enough to account for the evolving understanding of just what is necessary to integrate these customers to the grid.”⁴⁷ The State of California Department of Water Resources (“DWR”) encouraged that the Final Rule “adopt principles that guide the RTOs in their treatment of large load interconnections—but each RTO should be given the latitude to adopt a program that works best for its region.”⁴⁸ The CPUC agrees.

⁴⁴ *Id.*

⁴⁵ *Id.*

⁴⁶ Meta Comments at 3.

⁴⁷ EEI Comments at 21.

⁴⁸ DWR Comments at 9.

Finally, quoting the California Independent System Operator (“CAISO”), flexibility is best for reaching our mutual goals:⁴⁹

Having the flexibility to align any large load processes with reforms already accepted and implemented by transmission providers in close coordination with their State policymakers will further the goals of the ANOPR. Large load interconnection studies may require specific mechanisms for transmission owners experienced in conducting such studies, as well as mechanisms to avoid the State-jurisdictional concerns that led to the Commission’s rejecting the rules proposed in *Tri-State*. This flexibility will facilitate a faster compliance process to help large loads interconnect as soon as possible and with greater regulatory certainty.⁵⁰

III. TRANSPARENCY

Again, the CPUC does not agree that the FPA has granted the Commission regulatory authority over the terms and conditions of retail load energization. However, should the Commission move forward with making such rules, the CPUC echoes and supports a number of proposals from the Initial Comments, such as public posting of interconnection requests and cost responsibility determinations, that would improve transparency in the large load energization process. Transparency would benefit the development and fairness of load energization, to the benefit of businesses and ratepayers alike. The CPUC flags the following transparency issues relevant to large load energization: (A) queue transparency, (B) access for Tribal governments through process and capacity support, (C) data for load and capacity forecasting, (D) clarity of methodology for cost causation and allocation, and (E) standard definition of parameters that serve as inputs to said methodology (e.g., the definition of a “network upgrade”).

⁴⁹ CAISO Initial Comments at 8.

⁵⁰ *Id.*

A. Queue Transparency

Queue transparency is necessary to reduce regulatory burden, ease energization, and ensure system reliability. The CPUC supports implementing safeguards as articulated by OMS, to prevent “load shopping” among transmission providers and “queue gaming” by large-load customers with significant financial resources.⁵¹

Queue transparency measures will help create accountability and prudent system planning. As put forward by the Office of the Ohio Consumers’ Counsel (“OCC”), transparency measures “are necessary to protect residential consumers from bearing the costs of overbuilt transmission infrastructure resulting from inaccurate or inflated demand projections.”⁵² Reporting requirements should include reporting of queue attrition rates and coordination with state regulators on load forecasting will further promote accountability and prudent system planning.⁵³ Queue transparency would avoid duplicative load requests from being used to develop utility load forecasts, which then inform wholesale rates and transmission planning, and would improve the accuracy of these processes.⁵⁴

The CPUC also agrees with LS Power’s proposal that large load energization information should be published, similarly to generation interconnection queue information.⁵⁵ The CPUC supports the several concrete requirements to bring about

⁵¹ OMS Initial Comments at 12.

⁵² OCC Comments at 8.

⁵³ *Id.*

⁵⁴ SEIA Initial Comments at 3.

⁵⁵ LS Power Initial Comments at 6-7.

queue transparency suggested by the OCC. The CPUC agrees with OCC’s proposal that the Commission should require public utilities, Regional Transmission Organizations and Independent System Operators to provide public posting of:

1. All interconnection requests above [the MW threshold], including project type and location;
2. Cost responsibility determinations and any resulting upgrades; and
3. Annual reporting on the consumer cost impacts of large-load interconnections, associated transmission expansions, and the impact on electricity and capacity markets rates for consumers other than large loads.⁵⁶

B. Access for Tribal Governments

The CPUC supports Tribal Nations’ requests for robust process inclusion and capacity support to enable full participation of impacted parties in both the rulemaking process and any large load energization process(es) it produces. To quote the Chairman of the Confederated Tribes and Bands of the Yakima Nation, “Meaningful Consultation requires that we receive timely access to draft rule language, relevant data, and implementation plans, and that FERC provide adequate technical assistance and capacity support to enable full participation.”⁵⁷ As stated by Alliance for Tribal Clean Energy, “[c]onsultation must occur before any approval of large load interconnections, include data transparency and cost-allocation safeguards, and provide mechanisms for Tribal review and mitigation of infrastructure impacts.”⁵⁸

⁵⁶ OCC Comments at 3-4.

⁵⁷ Yakima Nation Initial Comments at 2.

⁵⁸ Alliance for Tribal Clean Energy Initial Comments at 4.

C. Data for Load and Capacity Forecasting

The CPUC also agrees with the Industrial Customer Organizations that data reporting would be useful for both a grid operator and industry perspective. Quoting Industrial Customer Organizations, “[a]ccurate, transparent forecasting provides two critical benefits: it facilitates creative industry solutions and promotes accountability, both of which lead to a more efficient grid. ... the Commission should consider developing rules that strengthen regional grid operators’ ability to develop accurate and transparent forecasts. Providing transparency to industry stakeholders promotes an increase of innovative solutions and better regional transmission and resource adequacy planning.”⁵⁹

Each utility uses its own methods and assumptions for developing forecasts, and uniformity would improve accuracy.⁶⁰ EIA stated that “establishing transparent forecasting assumptions and requiring standardized reporting by load-serving entities would improve the accuracy of the load forecasts that feed into transmission planning and market operations.”⁶¹ The CPUC supports robust reporting requirements, provided there is flexibility for regional variation and the ability to expand what data is gathered, and has taken steps to implement them under our own jurisdiction.

⁵⁹ Industrial Customer Orgs Joint Comments at 27.

⁶⁰ *Id.*

⁶¹ *Id.*

D. Clarity of Methodology for Cost Causation and Allocation

Transparency in methodology for cost causation and cost allocation is critical to ensure the costs related to large load customers transmission network upgrades (“TNU’s”) are not unreasonably allocated in electricity rates to other customers.

The CPUC supports the methodology proposed by the OCC that any proposed or final rule should:

1. Prohibit the use of transmission credits, rate-based recovery, or regional cost allocation mechanisms for interstate transmission facilities built primarily to serve large private loads;
2. Require verification that interconnection-driven network upgrade investments associated with large load interconnections are necessary for system reliability and/or deliverability of electricity to the general public before any costs are shifted to consumers other than large loads; and
3. Ensure that transmission cost recovery aligns with current cost causation and cost allocation principles...⁶²

The CPUC believes that transparency and standardized criteria for cost allocation is a prerequisite for fair and accurate cost causation analysis. As stated by SEIA, “[w]ithout clear methodologies, there is a risk that costs will be allocated inconsistently or that one class of interconnection customer (load or generation) will be unfairly disadvantaged. The Commission should therefore require transmission providers to develop transparent, standardized criteria for determining cost responsibility in cases

⁶² OCC Comments at 2. See also *Illinois Commerce Commission v. FERC*, 576 F.3d 470, 476 (7th Cir. 2009) (ICC I).

where both large load interconnections and generation projects contribute to the same transmission constraints.”⁶³

E. Standard Definition of the Parameters of Inputs into Methodology

From the CPUC’s experience of working with large load energization in its Rule 30 proceeding, a standard definition of inputs into any methodology would be needed in any final rule. For example, PG&E raised what constitutes a “network upgrade” and asked several questions to that end, including inquiring (1) whether a network upgrade is limited to upgrades to the existing transmission system or whether it also include a new switchyard or substation needed to serve a large load or hybrid facility, and (2) whether lines connecting a new large load or hybrid facility “network upgrades.”⁶⁴ Descriptive technical definitions of common terms with examples would smooth out processes and improve efficiency.

IV. MEGAWATT THRESHOLD

Based on the information received about the national data center market through the Initial Comment phase, the CPUC shifts its positions on the MW threshold towards a higher value and expands consideration of metrics for defining this large load customer class.

Initial Comments evidenced a broad swathe of positions on the issue of a megawatt (“MW”) threshold to which a proposed rule would be applicable, with parties

⁶³ SEIA Initial Comments at 19.

⁶⁴ PG&E Opening Comments at 16.

supporting threshold values as high as 300 MW and above.⁶⁵ The diversity of views on the subject is indicative of regional differences, variation in rate structures, and weighs strongly in favor of local determinations. The variation also suggests a moving target of what constitutes a ‘typical’ data center customer. The Initial Comments indicate a forming consensus, however, on the downsides of such a threshold being set too low.

CPUC acknowledges OMS’s assertion that “many other states have approved or are considering large load tariffs that all contemplate a range of 100-150 MW.”⁶⁶ Duke Energy considers 100 MW to be the minimum threshold, advocating for a threshold of 300 MW or above. The CPUC’s experience with data centers in its region argues for the higher-end of the spectrum. Per Industrial Customer Organizations, a 20 MW threshold risks “captur[ing] a significant number of manufacturers and other industrial and institutional entities.”⁶⁷ Further, EEI states, “[a] lower threshold may also produce unintended detriments to economic development and reshoring activities.”⁶⁸

Given the variation in regional market development and situations, MW metrics alone may not be the defining feature of this type of load. The CPUC agrees with the Ohio Office of Federal Energy Advocate (“Ohio FEA”) that data centers are a unique customer class, and identifying them based on their exceptional characteristics is not unduly discriminatory.⁶⁹ A better approach is states regionally determining the

⁶⁵ Duke Energy Comments at 15.

⁶⁶ OMS Initial Comments at 12-13.

⁶⁷ Industrial Customer Organizations Joint Comments at 6.

⁶⁸ EEI Comments at 3.

⁶⁹ Ohio FEA Comments at 3.

appropriate class identifiers based on the local data center market, such that local manufacturing and industrial businesses are protected and retail cost allocation can be fairly effectuated. Failing that, if a final rule includes a nationwide MW threshold, the conservative next-best option is to set a threshold on the higher end of the spectrum of those proposed in Comments.

V. CONCLUSION

The CPUC appreciates insights from other parties and the opportunity to provide these Reply Comments for the Commission's consideration. The CPUC encourages the Commission to conduct this rulemaking in a way that embraces cooperative federalism, acknowledges the jurisdictional authority of the states, and helps to support the efforts underway in many states throughout the country engaging in rulemaking just like this one to ensure timely and efficient energizations, while protecting reliability, resource adequacy, and affordability for all ratepayers.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have on this day caused a copy of the foregoing document to be served upon all parties designated on the official service list in this proceeding.

Dated at San Francisco, California, this day **5th** day of **December 2025**.

/s/ Inna Vinogradov
Inna Vinogradov